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BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Additional Disclosure

Year: Methodology Year: 2023
Question: Risk Management Processes
Include Modeled Scores : Yes

Risk Management Processes

Question

Does the company have risk management processes to promote effective risk culture?

Rationale

The purpose of this question is to obtain a better understanding of a company's risk management practices which are critical for overall risk control and mitigation. Effective risk and crisis management are vital for long-term financial planning and organizational flexibility. Companies need to implement internal control processes to comply with existing regulations and be proactive in developing their control mechanisms.

Robust risk reviews, including sensitivity analysis and stress testing, allow companies to strategically adapt to events that may have a material impact. Moreover, frequent risk reviews and audits can further improve the effectiveness of risk management and its processes.

Performance Summary	
Question Level Company Performance	55
Question Weight	29
Year-on-Year Change	0
Industry Average Score	20
Industry Highest Score	85

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

This question should be answered based on the organization's general risk identification and risk review exercise. We would not consider specific risk identification and risk review exercises such as Occupational Health & Safety, Human Rights, Climate Change, etc. Therefore, we would not accept TCFD or CDP reports as evidence. If Climate Change has been identified as a material risk, we would expect it to be reported accordingly in a dedicated, overarching risk section.

Risk Review

A risk review constitutes a risk identification and an assessment or re-assessment of a certain risk exposure, a status update thereof, or other procedures and processes that aim to identify hazards, determine potential negative effects, and ultimately remove or minimize a certain risk. A risk review defines risks that are specific to a company and should at least include:

- a description of the risks affecting the organization (E.g., revenues, profitability, costs)
- the likelihood of impact on the organization
- the magnitude of the potential business impact

The best practice is to include the following elements in the review:

- Risk appetite and/or risk tolerance level for risk categories: defined thresholds of overall loss that the company is accepting to absorb for different types of risks. For example, the risk appetite level for operational risks may be different from the risk-bearing capacity of strategic risks.
- Prioritization of risks identified: ranking of risks based on defined criteria of priority risk. Risk matrices can be used to illustrate prioritization as an outcome of likelihood and magnitude assessment.
- Mitigating actions: actions taken to reduce the extent of the risk and the likelihood that a potential negative impact will occur. We would expect mitigating actions to be reported together with the respective risks identified.

Sensitivity analysis and Stress testing

Sensitivity analysis: This is the name given to any procedure that tests the particular outcome of any given set of inputs under a given set of assumptions. It is important in risk analysis because it is a useful tool for gauging the outcome of all kinds of scenarios and events. Analysts conducting sensitivity analysis will ultimately be concerned with determining how changes in one or more inputs could affect the output of interest.

Stress testing: This is a simulation technique used on assets, portfolios, or positions of interest to determine their reactions to different events that are not usually captured in more traditional value or risk analysis. Stress tests are used to gauge how certain stressors (events, risks, megatrends) or extreme circumstances could affect a company or industry. They are usually computer-generated simulation models that test hypothetical scenarios. The Monte Carlo simulation is one of the most widely used methods of stress testing.

Financial risks: Risks that arise from exposure to financial markets.

Examples:

- Credit risks: uncertainty about whether the counterparty to a transaction will fulfill its contractual obligations.
- Liquidity risk: Risk of loss when selling an asset at a time when market conditions make the sales price less than the underlying fair value of the asset.
- Interest/exchange rates risks: Uncertainty due to changes to interest rates and foreign exchange rates.
- Market risks: Risk of loss due to factors that affect the overall performance of investments in the financial markets.

Non-financial risks: Risks that arise from the operations of the organization and from sources external to the organization.

Here, we are not considering climate-related stress testing as it is covered in the criterion "Climate Strategy".

Examples:

- Operational risk: Risk that human error of faulty organizational processes will result in losses.
- Solvency risk: Risk that the organization will be unable to continue to operate because it has run out of cash.
- Regulatory risk: Risk that the regulatory environment will change, imposing costs on the firm or restricting its activities.
- Governmental or political risk (including tax risk): Risk that political actions outside a specific regulatory framework, such as increases in tax rates, will impose significant costs on an organization.
- Legal risk: Uncertainty about the organization's exposure to future legal action.
- Model risk: Risk that asset valuations based on the organization's analytical models are incorrect.
- Tail risk: Risk that extreme events (those in the tails of the distribution of outcomes) are more likely than the organization's analysis indicates, especially from incorrectly concluding that the distribution of outcomes is normal.
- Accounting risks: Risk that the organization's accounting policies and estimates are judged to be incorrect.

Audit of risk management

Systematically assesses the measures, tools, and processes applied to identifying, evaluating, controlling, monitoring, and reporting on relevant risks to the organization, considering their likelihood and potential of impact. It can be realized by qualified, internal auditors or by qualified, independent third-party auditors, following good practice guidelines on management systems audits or risk management guidelines such as ISO 31000.

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Data Requirements

Disclosure requirements for a partially public question:

Risk Review

This aspect of the question requires supporting evidence from the public domain for all selected options. The information provided has to be included in your public reporting (e.g. annual report, sustainability report, integrated report, company publications) or corporate website.

Sensitivity Analysis and Stress Testing, Frequency of the Risk Exposure Review and Audit

Private information is acceptable for these three aspects of the question. However, if this information is publicly available, please tick "This data is publicly available". In this case, we would expect public disclosure of each of the options. For example, if both internal and external audits are ticked under "Audit", evidence of both would need to be in the public domain.

References

COSO Framework

ISO 31000

Standards & Frameworks

WEF Metrics - Integrating risk and opportunity into business process

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Risk Management Processes	Applicable
Risks identified include a description of the risk, its likelihood and magnitude of the potential impact and are available in the public domain	YES
The company describes its risk appetite for at least two risk categories	YES
The company prioritizes identified risks	YES
The company provides mitigating actions for at least two risks identified	YES
The company conducts sensitivity analysis or stress testing on financial risks	YES
The company conducts sensitivity analysis or stress testing on non-financial risks	-
The company reviews its risk exposure:	Twice a year or more
The company conducts an internal audit of its risk management processes	-
The company conducts an external audit of its risk management processes	-
Public reporting is available on Sensitivity analysis or stress testing on financial risks and/ or non-financial risks	-
Public reporting is available on frequency of review of company's risk exposure.	-
Public reporting is available on audit of the risk management process- whether internal audit and/or external audit has been conducted.	-

Questionnaire

Does your company have risk management processes in place? Please provide supporting evidence for all the options selected and for the first aspect please indicate where this is available in your public reporting or corporate website.

1. (●) Yes, our company has risk management processes in place

Risk Review

1. [x] We publicly report on risks identified including a description of the risk, its likelihood and magnitude of the potential impact

The process includes the following elements:

1. [x] Description of risk appetite or risk tolerance levels for at least two risk categories/ types
2. [x] Prioritization of identified risks
3. [x] Description of mitigating actions for at least two risks identified.

Sensitivity Analysis and Stress testing

We perform sensitivity analysis or stress testing on financial risks and/ or non-financial risks

1. [x] Sensitivity analysis or stress testing on financial risks
2. [ ] Sensitivity analysis or stress testing on non-financial risks

1. [ ] This data is publicly available. Please provide supporting evidence or weblink.

Review of company's risk exposure on a regular basis

We review our company's risk exposure on a regular basis. Please attach evidence of the frequency of the assessments

1. (●) At least twice a year or more frequently
2. ( )

1. [ ] This data is publicly available. Please provide supporting evidence or weblink.

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At least yearly

3. Less frequently or not specified

We conduct an audit of the risk management process. Please specify if an internal audit and/or an external audit has been performed and provide supporting evidence

Audit of the risk management process in the last two years

1. Yes, we have conducted an internal audit
2. Yes, we have conducted an external audit

1. This data is publicly available. Please provide supporting evidence or weblink.

2. No, we do not publicly report on our risk management processes
3. Not applicable. Please provide a comment below
4. Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.